Sea Limited (SE)

The Monetization Engine Is Compounding Through Reinvestment

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> Market apprehension regarding near-term adjusted EBITDA margin compression overlooks the structural transformation underway across Sea Limited, where monetization gains at Shopee and rapid scaling at Monee are driving resilient top-line momentum. While consensus fixates on competitive marketing intensity and elevated credit provisions, core marketplace revenue growth of 48.9% in the second quarter of 2026 demonstrates clear pricing power and operating leverage potential. Supported by a clean balance sheet featuring $783.1M in net cash and a disciplined $1.0B share repurchase authorization, the risk-reward profile is asymmetric. We reiterate our Buy rating with a probability-weighted blended target of $129.23, representing +59.5% upside from the reference spot price of $81.04.

BUY	$129.23	+59.5%	$81.04
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

While the market remains preoccupied with quarterly adjusted EBITDA margin compression to 11.8% driven by tactical defense against rival platforms, it misses the accelerating capture of marketplace take rates and disciplined credit growth. Core marketplace revenue expansion outpacing gross merchandise volume confirms structural pricing power across Southeast Asia, establishing a durable path toward cash flow normalization.

EXECUTIVE SUMMARY

Sea Limited operates as the leading consumer internet ecosystem across Southeast Asia and Taiwan, paired with an expanding presence in Brazil. The group integrates three foundational pillars: Shopee, the leading e-commerce marketplace in its core geographies; Monee, an integrated digital financial services platform spanning digital payments alongside consumer and SME credit underwriting; and Garena, a premier global game developer and publisher anchored by its enduring proprietary title, Free Fire. By connecting consumer commerce, proprietary logistics, high-velocity digital credit, and digital entertainment, the company captures network synergies that reinforce user retention across its footprint.

The evidentiary record across recent quarters confirms powerful operational expansion across all three business segments. In the second quarter of 2026, group revenue advanced 48.1% year on year to $7.79B, building on the 46.6% year on year expansion to $7.10B recorded in the first quarter of 2026. Momentum at Shopee accelerated, with gross merchandise volume expanding 28.4% to $38.3B across 4.2B gross orders in the second quarter, while

core marketplace revenue grew 48.9% to $4.9B. Concurrently, Monee has established itself as an indispensable earnings engine, generating $1.4B in quarterly revenue, up 58.9% year on year, with its loan book expanding 62.5% to $11.1B while maintaining pristine asset quality with a 90+ day non-performing loan ratio of 1.0%. Meanwhile, Garena demonstrated renewed vitality, generating bookings of $931.4M in the first quarter of 2026 and $763.5M in the second quarter, proving the durability of Free Fire and Arena of Valor.

Capital discipline and liquidity provide critical balance-sheet resilience. Sea Limited concluded fiscal year 2025 with $4.16B in cash and cash equivalents against total debt of $3.38B, yielding a net cash position of $783.1M. Operating cash flow generation supported free cash flow of $4.50B in fiscal year 2025, representing a 19.6% free cash flow margin. Management paired this liquidity profile with capital return, initiating a $1.0B share repurchase program in the first quarter of 2026 while providing formal guidance for full-year 2026 Shopee gross merchandise volume growth of around 25% and full-year adjusted EBITDA no lower than 2025 in absolute dollars. This explicit floor reinforces downside support while the core engines compound.

OPERATIONAL SNAPSHOT

$81.04	$22.9B	$4.50B	19.6%	1.55	$81.04
REF. PRICE	FY2025 REVENUE	FY2025 FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-20.

THE MOAT IS STRUCTURAL AND SELF-REINFORCING

The structural moat defending Sea Limited stems from the density of its e-commerce marketplace and logistics infrastructure across Southeast Asia, Taiwan, and Brazil. Shopee operates as the definitive commercial hub across its territories, where the scale of 4.2B gross orders processed in the second quarter of 2026 alone creates insurmountable order density for emerging entrants. This volume enables superior shipping unit economics through integrated logistics attach, simultaneously improving fulfillment speed and merchant retention. Merchant switching costs increase as sellers rely on Shopee for search visibility, transaction settlement, localized fulfillment, and advertising services, making disintermediation commercially unviable.

Beyond commercial scale, the integration between Shopee and Monee introduces powerful financial lock-in. Monee leverages proprietary transaction history and buyer-seller behavior on Shopee to underwrite consumer and small-to-medium enterprise credit with surgical precision. Traditional commercial lenders across Southeast Asia face prohibitive underwriting and customer acquisition costs in the unbanked and underbanked population. In contrast, Monee scaled its loans principal outstanding to $11.1B in the second quarter of 2026 while sustaining a 90+ day non-performing loan ratio of 1.0%, generating $288.0M in segment adjusted EBITDA. This proprietary underwriting moat allows Monee to originate high-margin credit at negligible marginal acquisition costs, creating a high-margin barrier to entry that standalone fintech providers cannot match.

Garena provides a cash-generative digital anchor that feeds group liquidity. Free Fire maintains an exceptionally broad active user base across emerging markets, bolstered by strategic content cadence such as the licensed campaigns executed in late 2025 alongside contributions from Arena of Valor. This intellectual property portfolio produces reliable, high-margin cash flows that have historically funded marketplace infrastructure investments across Shopee and Monee. With regulatory compliance firmly established across local financial and digital commerce authorities in its core regions, Sea Limited commands a multi-layered ecosystem moat that insulates its footprint from uncapitalized competitors.

VALUATION

Three scenarios make the valuation range explicit

Our valuation methodology implements an explicit cash flow bridge from fiscal year 2026 through fiscal year 2030, discounting unlevered free cash flows at a 10.00% weighted average cost of capital and assuming a 4.0% terminal growth rate in the base case across 638.2 million diluted shares. The valuation framework models three distinct fundamental trajectories that capture the balance between top-line expansion and operational reinvestment.

In our base case, Sea Limited achieves a 16.0% revenue compound annual growth rate through fiscal year 2030, with target free cash flow margins normalizing to 9.1% as advertising attach rates mature and credit underwriting efficiencies compound. This yields a base intrinsic value of $117.05 per share, representing +44.4% upside against the reference spot price of $81.04. The bull scenario projects accelerated market share consolidation, delivering a 22.0% revenue compound annual growth rate and an 11.3% target free cash flow margin, generating an intrinsic valuation of $222.82 per share, representing +175.0% upside. Conversely, the bear scenario models intensified platform competition, elevated marketing expenditures, and rising credit loss provisions, restricting top-line compounding to a 10.0% revenue compound annual growth rate with terminal free cash flow margins compressing to 6.6%, producing an intrinsic value of $60.01 per share, representing -26.0% downside.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	10.0%	6.6%	$60.01	-26.0%
Base	50%	16.0%	9.1%	$117.05	+44.4%
Bull	25%	22.0%	11.3%	$222.82	+175.0%

Bear $60.01

Intensified promotional subsidies against TikTok Shop and Temu erode marketplace take rates, while an unseasoned credit book suffers elevated credit losses in an economic downturn. Revenue compounds at a 10.0% CAGR

Base $117.05

Shopee sustains healthy transaction volume expansion while core marketplace monetization advances via higher advertising attach rates. Monee scales credit origination prudently with stable credit metrics,

Bull $222.82

Shopee asserts dominant marketplace pricing power across Southeast Asia and reaches structural profitability in Brazil. Monee credit margins expand rapidly alongside robust Garena gaming cash flows, unlocking a

through FY2030 with terminal free cash flow margins compressed to 6.6%, yielding -26.0% downside.

supporting a 16.0% revenue CAGR and a 9.1% terminal FCF margin for +44.4% upside.

22.0% revenue CAGR and an 11.3% target FCF margin, driving +175.0% upside.

VALUATION FRAMEWORK

A live discount rate, not a static hurdle

Our valuation framework applies a rigorous 10.00% weighted average cost of capital, reflecting an equity beta of 1.55. This hurdle rate captures the macroeconomic characteristics of emerging Southeast Asian and Latin American markets, foreign exchange exposure, and cyclical risk within the digital lending portfolio. Rather than using an artificially depressed discount rate, this 10.00% cost of capital enforces an institutional hurdle that demands robust cash generation from operations.

An equity beta of 1.55 accounts for the ongoing competitive friction within regional e-commerce and the high operational gearing of rapid fintech expansion. Over our five-year projection window through fiscal year 2030, our DCF model incorporates structural cash flow maturity as working capital commitments stabilize and marketplace operating margins expand toward global peer standards, anchored by our 4.0% base-case terminal growth rate.

FCF margin normalization is the engine

The trajectory of free cash flow margin normalization forms the foundation of our multi-scenario bridge. Sea Limited demonstrated exceptional cash generation in fiscal year 2025, recording $4.50B in free cash flow, representing a 19.6% margin on revenue of $22.9B. This performance was supported by disciplined capital expenditures and favorable working capital dynamics. However, as credit origination expands, with Monee loans outstanding reaching $11.1B in the second quarter of 2026, capital allocation toward lending provisions naturally alters reported cash conversion.

Our explicit scenario assumptions calibrate normalized long-term free cash flow margins against ongoing reinvestment demands. The base case target free cash flow margin of 9.1% assumes sustained advertising monetization and logistics efficiencies across Shopee, easily absorbing credit loss provisions as Monee scales. The bull case margin of 11.3% reflects profound operating leverage across sales, marketing, and corporate overhead, whereas the bear case margin of 6.6% factors in persistent competitive subsidy requirements and elevated provisioning expenses.

KEY VALUATION PARAMETERS

Forecast window	**FY2026 to FY2030**
Live WACC	**10.00% (2026-10-20)**
Terminal growth	**4.0%**
Equity beta	**1.55**
Diluted shares	**638.2 million**

BUY

over $129.23 blended target

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

Methodology. Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

BUSINESS & SEGMENT DRIVERS

Revenue prospects anchor on Shopee Take-Rate Expansion and Monee Credit Scaling

BUY

Shopee represents the foundational growth driver for Sea Limited. In the second quarter of 2026, Shopee GAAP revenue advanced 48.2% year on year to $5.6B, propelled by gross merchandise volume growth of 28.4% to $38.3B. The critical fundamental development is the expansion of core marketplace revenue, which surged 48.9% to $4.9B. This significant outperformance relative to gross merchandise volume underscores the compounding effect of advertising services and logistics attach, driving effective take rates higher across Southeast Asia and Brazil without dampening merchant volume.

Monee has emerged as a high-margin secondary pillar. Segment revenue rose 58.9% year on year to $1.4B in the second quarter of 2026, supported by an expanding loan book that reached $11.1B in loans principal outstanding, representing 62.5% year on year growth. Importantly, risk controls have proven disciplined, with the 90+ day non-performing loan ratio holding stable at 1.0%. Generating $288.0M in segment adjusted EBITDA during the quarter, Monee provides an expanding pool of high-margin earnings that diversifies the group away from pure consumer discretionary retail cycles.

Garena continues to serve as an indispensable source of operating cash flow. While bookings exhibit quarterly variability tied to major content updates, the franchise demonstrates enduring vitality. Bookings reached $931.4M in the first quarter of 2026, up 20.1% year on year, driven by Free Fire and a record contribution from Arena of Valor, following a strong third quarter in 2025 where bookings reached $840.7M on licensed campaign momentum. In the second quarter of 2026, bookings expanded 15.5% to $763.5M. This durable gaming cash generation directly reinforces the group balance sheet, funding regional commerce infrastructure without requiring dilutive external capital.

What to monitor

- **Core marketplace take-rate progression** The divergence between core marketplace revenue growth and gross merchandise volume expansion at Shopee as advertising attach scales.

- **Credit quality and non-performing loan metrics** The stability of Monee 90+ day non-performing loan ratios around the 1.0% threshold as the loan book scales beyond $11.1B.
- **Adjusted EBITDA margin stabilization** Group adjusted EBITDA margin trajectory following compression to 11.8% in the second quarter of 2026 as management defends market share.
- **Garena bookings run-rate** Quarterly bookings sustainability across Free Fire and Arena of Valor relative to historical campaign performance.

+36.4%	44.7%	8.7%	19.6%	$783.1M	12.5%
FY2025 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET CASH	RETURN ON EQUITY

METRIC	FY2025 (AS REPORTED)
Revenue	$22.9B
Gross Profit	$10.2B
EBIT	$1.99B
Net Income	$1.58B
EBITDA	$2.69B
Free Cash Flow	$4.50B
Diluted EPS	$2.52
ROE	12.5%

RISK & MOAT MATRIX

The bear case

SHARE EROSION

Aggressive commercial subsidies from deep-pocketed competitors including TikTok Shop and

M&A DIGESTION

Integration complexities or sub-scale capital allocation into emerging frontier geographies

REGULATORY AND PRICING SCRUTINY

Digital marketplace oversight, cross-border trade restrictions, and micro-lending caps across

TECHNOLOGY DISRUPTION

Emergence of alternative social commerce formats or decentralized e-commerce protocols could disrupt traditional digital

REINVESTMENT TREADMILL

Persistent sales and marketing expenditures required to defend platform share compress adjusted EBITDA margins, which fell to 11.8% in the

WACC AND DURATION SENSITIVITY

With an equity beta of 1.55 and emerging market exposure, shifts in global discount rates directly impact

Temu could force prolonged promotional discounting. Such competitive friction threatens to impair Shopee market share and suppress take-rate gains in contested regional markets.

could consume corporate liquidity without delivering target returns. Inefficient expansion risks diluting management focus away from high-return core Southeast Asian digital markets.

Southeast Asian jurisdictions could impede fintech expansion. Tightening consumer lending regulations may directly constrain Monee balance sheet velocity and fee structures.

marketplace search funnels. Failure to integrate dynamic live streaming and interactive video experiences risks disintermediating customer traffic.

second quarter of 2026. Protracted reinvestment cycles reduce cash flow conversion and postpone operational leverage realization.

valuation multiples. Any macro volatility that elevates cost of capital above 10.00% will compress the discounted value of terminal cash flows.

The strengths

OLIGOPOLY POSITION

Shopee commands unmatched commercial scale and localized fulfillment networks across Southeast Asia and Taiwan, processing 4.2B quarterly orders. This volume density creates formidable structural cost advantages over sub-scale regional rivals.

FCF COMPOUNDING

Fiscal year 2025 demonstrated outstanding cash generation with $4.50B in free cash flow, delivering a 19.6% margin. This powerful cash generation funds growth initiatives organically while supporting capital return through a $1.0B repurchase program.

GEOGRAPHIC DURABILITY

Multi-market leadership across Indonesia, Vietnam, Thailand, the Philippines, Malaysia, and Taiwan provides diversification against localized economic headwinds. Continued expansion in Brazil broadens the long-term addressable market.

PIPELINE OPTIONALITY

Monee credit origination powered by Shopee transaction telemetry unlocks high-return financial intermediation, as shown by $11.1B in loans outstanding. Concurrently, Garena delivers recurring digital entertainment cash flows across global markets.

The bottom line on risk and reward

The fundamental risk-reward profile for Sea Limited remains highly favorable for long-term equity investors. While the market has expressed reservation regarding adjusted EBITDA margin compression to 11.8% in the second quarter of 2026, the underlying driver of this compression is deliberate reinvestment into core logistics, merchant acquisition, and credit scaling. Shopee top-line acceleration to 48.2% revenue growth and Monee expansion to $1.4B in quarterly revenue confirm that reinvested capital is generating rapid volume and scale advantages.

With total debt of $3.38B more than offset by $4.16B in cash and cash equivalents, yielding $783.1M in net cash alongside $4.50B of fiscal year 2025 free cash flow, the balance sheet provides an uncompromised strategic buffer.

Management guidance projecting full-year 2026 Shopee gross merchandise volume growth of around 25% with adjusted EBITDA no lower than 2025 establishes clear operational guardrails. We view the current valuation of 2.2x EV to latest fiscal year revenue as an attractive entry point into a compounding consumer internet platform.

Our probability-weighted framework, assigning 25% to the bear case ($60.01), 50% to the base case ($117.05), and 25% to the bull case ($222.82), establishes a blended target price of $129.23 per share. Compared against the reference spot price of $81.04, this indicates a +59.5% upside potential. We reaffirm our high-conviction Buy rating on Sea Limited.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

FRANCHISE DEEP DIVE

Shopee: Scale Economics and Monetization Compounding

Shopee functions as the central nervous system of consumer commerce across Southeast Asia and Taiwan, while establishing an increasingly significant footprint in Brazil. The marketplace operates on a high-velocity localized model, connecting millions of active consumers with merchants across high-frequency categories. Over the course of fiscal year 2025, the platform achieved massive commercial engagement, which culminated in fourth-quarter gross merchandise volume of $36.7B, expanding 28.6% year on year. The platform's ability to maintain high double-digit gross merchandise volume growth at this scale demonstrates its deeply entrenched consumer habits.

The core strategic inflection for Shopee centers on monetization efficiency. In the second quarter of 2026, Shopee GAAP revenue reached $5.6B, advancing 48.2% year on year, significantly exceeding the underlying 28.4% gross merchandise volume growth. This outperformance was spearheaded by core marketplace revenue, which surged 48.9% to $4.9B. The expanding spread between marketplace revenue and transaction volume confirms that advertising attach rates and logistics value-added services are successfully extracting higher unit revenues without inhibiting transaction velocity, creating an expanding operational margin buffer.

Competitive friction with alternative platforms such as TikTok Shop and Temu has required persistent marketing investment, leading to temporary group margin compression. However, Shopee vast order volume, recording 4.2B gross orders in the second quarter of 2026, generates fulfillment density that standalone social commerce entrants struggle to match. As fulfillment costs per order decline through integrated logistics, Shopee preserves merchant loyalty through lower total cost of business and superior customer delivery reliability.

What the recent record shows

- Shopee GAAP revenue grew 48.2% year on year to $5.6B in the second quarter of 2026, supported by gross merchandise volume of $38.3B, up 28.4% across 4.2B gross orders.
- Core marketplace revenue accelerated 48.9% to $4.9B in the second quarter of 2026, demonstrating take-rate expansion via advertising and logistics services.
- Shopee gross merchandise volume reached $37.3B in the first quarter of 2026, expanding 30.2% year on year, supported by full-year 2026 gross merchandise volume guidance of around 25% growth.

- Fourth-quarter 2025 gross merchandise volume reached $36.7B, growing 28.6% year on year, closing a full fiscal year that achieved $10.24B in gross profit and an 8.7% operating margin.

Our read: Shopee has definitively transitioned from a subsidized market share land grab into a disciplined monetization platform. The structural compounding of core marketplace revenues well ahead of transaction volume growth indicates pricing power that underpins our base-case target price of $117.05 and probability-weighted blended target of $129.23.

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